EXECUTIVE SUMMARY

I. Introduction

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The Municipality is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Rizal (LGU Rizal) for CY 2024 and was aimed at determining whether management presented fairly the financial statements of the province in adherence to the generally accepted accounting principles, whether prevailing laws, rules and regulations have been complied with and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, results of operations, appropriations, allotments and obligations of the LGU Rizal for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase (Decrease)
Financial Position			
Total Assets	₱ 368,889,924.53	₱ 299,606,788.12	₱ 69,283,136.41
Total Liabilities	201,853,764.90	111,869,314.66	89,984,450.24
Government Equity	167,036,159.63	187,737,473.46	(20,701,313.83)

Accounts	2024	2023	Increase (Decrease)
Results of Operations			
Total Income	128,489,291.14	136,842,656.46	(8,353,365.32)
Total Expenses	162,027,018.04	120,227,627.92	41,799,390.12
Net Income	(33,537,726.90)	16,615,028.54	(50,152,755.44)
Appropriations, Allotments and Obligations			
Appropriations- Current	129,378,120.00	122,157,361.00	7,220,759.00
Appropriations- Continuing	1,947,825.85	3,067,100.61	(1,119,274.76)
Allotment- Current	129,378,120.00	122,157,361.00	7,220,759.00
Allotment- Continuing	1,947,825.85	3,067,100.61	(1,119,274.76)
Obligations- Current	124,733,768.81	109,338,614.27	15,395,154.54
Obligations- Continuing	1,947,825.85	3,067,100.61	(1,119,274.76)

Also, the Comparative Statement of Fund Transfers to and from NGAs, LGUs, NGOs and POs of the LGU Rizal are as follows:

Funds Transferred to Other Agencies	2024	2023	Increase/ (Decrease)
NGAs	-	-	-
GOCCs	-	-	-
LGUs	-	-	-
NGOs/Pos	-	-	-
TOTAL	**-**	**-**	**-**
Funds Received from Other Agencies	**2024**	**2023**	**Increase/ (Decrease)**
NGAs	₱ 50,245,325.92	₱ 16,219,942.50	₱ 34,025,383.42
GOCCs	-	-	-
LGUs	517,730.00	196,000.00	321,730.00
NGOs/Pos	-	-	-
TOTAL	**₱ 50,763,055.92**	**₱ 16,415,942.50**	**₱ 34,347,113.42**

IV. Operational Highlights

The LGU Rizal is headed by the Municipal Mayor, Honorable Joel A. Ruma and Vice-Mayor, Honorable Brenda B. Ruma. For CY 2024, the LGU had a total of 191 personnel complement, with 79 permanent, 13 elective, 2 co-terminus and 97 job order status.

The following infrastructure projects of the LGU were completed in CY 2024:

Projects	Location	Total Cost Incurred
Concreting of Gaddangao Farm-to-Market Road	Gaddangao	₱ 1,992,092.31

Projects	Location	Total Cost Incurred
Repair and Maintenance of Cambabangan Elementary School Gymnasium	Cambabangan	1,499,155.54
Concreting of Anagguan Barangay Road	Anagguan	996,111.39
Backfilling of the Proposed Site for Construction of Warehouse Facility	Gaddangao	599,040.00
Construction of KADIWA NG PANGULO Stalls	Gaggabutan West	597,920.13
Construction of Fence and Reading Center	Illuru Norte	499,200.00
Drilling of Water System at San Juan	San Juan	299,760.00
Downgrading of Proposed Access Road to Gaggabutan West Evacuation Center	Gaggabutan West	274,560.00
Construction of Access Road Leading to San Juan Water System (Gravel Road)	San Juan	199,235.00
Total		**₱ 6,957,074.37**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Rizal for the year-ended December 31, 2024, due to: *(a) misstatement of the Property, Plant and Equipment accounts amounting to ₱4,129,637.49; and (b) misclassification of the account Other Maintenance and Operating expenses totaling to ₱12,120,114.35.*

VI. Summary of Significant Audit Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the LGU Rizal are as follows:

1. **Purchases totaling ₱2.153 million were processed and paid through reimbursements, resulting in the non-withholding of the applicable taxes due thereon and may have prevented the government from securing the most advantageous price.**

   We recommended that the Management:

   a. avoid the practice of disbursing through reimbursement and ensure that all payments are made directly to the suppliers or service providers, to facilitate the proper withholding and remittance of applicable taxes; and

   b. strictly adheres to the appropriate modes of procurement and consistently comply with the procedures prescribed under the Procurement Law and its

IRR, to uphold the principles of transparency and accountability, while ensuring that the Agency obtains the most advantageous price and terms in all its procurement undertakings.

2. **The LGU reallocated savings from an existing project funded under the 20% Development Fund (DF) to implement new projects that were not included in the duly approved Annual Investment Program (AIP) and also reduced the budget allocation of another development project to finance a new project, both undertaken without amending the AIP and enacting a supplemental budget, adversely affecting the propriety and validity of the disbursements related to these realigned projects.**

   We recommended that the Management:

   a. moving forward, ensure the preparation of an amended AIP that incorporates all additional development projects proposed to be funded from savings and realignments of the 20% DF; and

   b. cause the preparation and enactment of a Supplemental Budget, based on the amended AIP, to reflect the necessary realignments and re-appropriations of funds and ensure that the revised AIP and the corresponding Supplemental Budget are submitted to the Sangguniang Panlalawigan, for proper review and approval prior to the implementation of the new projects.

3. **The acquisition of 3,000-square meter lot amounting to ₱3.0 million in CY 2024 was not supported with complete documentation. Moreover, lacking supporting documents for lot acquisitions in prior years totaling to ₱18.94 million were not yet submitted to the Audit Team, adversely affecting the validity, propriety, and legality of payment for the purchased lots.**

   We recommended that the Management direct the Offices concerned to submit the lacking documentary requirements for all land acquisitions to establish the legality and validity of the transactions and remind all concerned officials to refrain from processing and approving disbursements without the complete documentary requirements outlined in the aforementioned Circular.

4. **Titles of the subject lots have not yet been transferred to the name of LGU despite full payment.**

   We recommended that the Management expedite the transfer of land titles to the name of the LGU, in order to safeguard the Municipality's interests and to ensure full compliance with the applicable legal and regulatory requirements.

5. **The payments of hazard pay to Public Health Workers (PHWs) and Public Social Worker (PSW)/Public Social Welfare and Development Workers (PSWDWs) totaling ₱0.994 million were not supported with complete**

documentary requirements, affecting the validity and regularity of the expenditures.

We recommended that the Management:

a. instruct the Offices concerned to submit the necessary supporting documents for the payments of hazard pay and henceforth comply with the documentary requirements prescribed under COA Circular No. 2012-001, to establish the validity, propriety and legality of such disbursements; and

b. strictly follow the provisions of DBM-DOH Joint Circular No. 1, s. 2016 and DBM-DSWD Joint Circular No. 1, s. 2018, particularly on the conditions for entitlement and the prescribed computation of hazard pay, to ensure accurate and lawful payment of the benefit and to avoid the risk of overpayment and improper utilization of public funds.

VII. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance January 1, 2024	Issued During the Year	Settlement During the Year	Ending Balance, December 31, 2024	% of Settlement
Suspensions					
Prior Years	P 15,304,278.96	-	-	P 15,304,278.96	0.00%
Current Year	-	-	-	-	0.00%
Total	**P 15,304,278.96**	**-**	**-**	**P 15,304,278.96**	**0.00%**
Disallowances					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	**0.00%**
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	**-**	**-**	**-**	**-**	**0.00%**

VIII. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2023 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Fully Implemented	12	46.15%
Not Implemented	14	53.85%
Total	**26**	**100.00%**